

7-2g Information and Communication

Information and communication is an essential element of internal control. Information about the control environment, risk assessment, control procedures, and monitoring is used by management for guiding operations and ensuring compliance with reporting, legal, and regulatory requirements. Management also uses external information to assess events and conditions that impact decision making and external reporting. For example, management uses pronouncements of the Financial Accounting Standards Board (FASB) to assess the impact of changes in reporting standards on the financial statements.

Check up Corner 7-1

Internal Controls

Identify the control procedure violated in each of the following scenarios:

- a. Todd Leone is the accounting clerk for Home Chic, a small boutique retail store that is owned and operated by Al Dente. Al does not care much for the accounting side of the business and allows Todd to make all payments to the company's suppliers. Todd pays all invoices that Home Chic receives. Al does not review the payments Todd makes.
- b. Jose Muldoon's Mobile Foods is a food truck with two trusted employees. One employee stocks the food truck each day, prepares the orders, and cleans up the kitchen at the end of the day. The other employee takes orders, collects payment from customers, counts the cash at the end of the day, records the cash receipts, and deposits the cash in the night depository slot at the bank.
- c. Tad is the treasurer and chief financial officer of a local bank in Wisteria, California. Tad was born and raised in the community and has never had a desire to travel. As a result, he has not taken a vacation or a day off of work in over six years.

